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COMPARISON · NYSE · XYL VS PNR

Xylem vs Pentair: Quality Screen

Report of 11 Oct 2026 Price at research 2 companies **BOTH PASS · PENTAIR CHEAPER**

Both pass. Xylem is steadier at a fair price. Pentair is more profitable at a low price.

WHY

- Pentair passes all seven tests outright. Xylem passes two on a technicality: low recent ROE and 35% more shares after Evoqua.
- Free cash flow per share from 2020 to 2025: Xylem +5% ($3.55 to $3.74), Pentair +49% ($3.08 to $4.59).
- Pentair is cheaper on every measure (11.2 vs 18.3 times 2026 earnings) and ranks first at every discount rate tested.

SIGNALS TO WATCH

- ☐ Xylem: organic growth back toward 3%, margin on track for 23.1 to 23.5%
- ☐ Pentair: pool inventory back to normal, no new guidance cut
- ☐ Pentair: 2027 pool sales near $1.45bn

NEXT CHECKPOINT

Pentair Q3 results expected 23 October 2026, Xylem Q3 results on 27 October 2026.

DATES TO TICK OFF

	WHEN	WHAT	WHAT TO CHECK
☐	≈ 23 Oct 2026	**Pentair Q3 results** Date not confirmed: Expected 23 October 2026	Pool inventory back to normal, no new guidance cut, 2027 pool sales near $1.45bn.
☐	27 Oct 2026	**Xylem Q3 results**	Organic growth back toward 3%, margin on track for 23.1 to 23.5%.
☐	10 Jan 2027	**Refresh the verdict**	It turns 90 days old; rerun the research before relying on it.

THE FULL REPORT · XYLEM VS PENTAIR: QUALITY SCREEN · 11 OCT 2026

Screen date: 2026-10-11 · Prices: Xylem **$102.71**, Pentair **$52.47** (close 9 Oct 2026) · Currency: USD
Framework: AI Berkshire `/quality-screen` (seven hard tests that remove clearly second-rate companies), followed by a side-by-side comparison. Written in English at the reader's request. Companion reports: Xylem research · Pentair research · Water technology funnel **Educational research only. Not investment advice.**

> **Currency and your money:** this report is written in US dollars. Xylem $103 ≈ €91.55 ≈ 489 lei · Pentair $52.47 ≈ €46.77 ≈ 250 lei. National Bank of Romania reference rates of 9 Oct 2026: 1 EUR = 5.3414 lei, 1 USD = 4.7612 lei. Romanian inflation was 6.2% a year in August 2026 (INS). The National Bank of Romania forecasts 6.1% for end-2026 and 3.4% for end-2027. Figures in lei and euros are conversions at that day's rate and move with it.

1. What this screen does

The screen asks seven yes-or-no questions. Its purpose is narrow: throw out companies that are clearly not first-rate, without throwing out any that are. Passing does not mean "good investment". It means "worth a closer look".

#	TEST	FAIL IF	WHAT IT MEASURES
1	10-year average ROE	below 8%	Does shareholders' money earn more than it costs?
2	5-year total free cash flow	negative	Is the profit real cash?
3	Interest cover (EBIT / interest)	below 2 times	Can it pay its lenders?
4	Long-run gross margin	below 15%	Is the product differentiated?
5	Operating cash flow / net income, 5-year average	below 0.7	Does reported profit turn into cash?
6	Long-run net margin	below 5%	Is there a cushion when sales fall?
7	Share count growth over 5 years	above 20%, unless caused by an acquisition	Is management diluting owners?

Data: SEC XBRL filings for both companies, cross-checked with StockAnalysis. All averages were calculated by script, not by hand.

2. Summary table

COMPANY	① ROE	② FCF	③ INTEREST COVER	④ GROSS MARGIN	⑤ OCF / NI	⑥ NET MARGIN	⑦ DILUTION	RESULT
Xylem (XYL)	⚠️ 12.0% (last 3 years 8.6 to 8.9%)	✅ +$3,136m	✅ 42x	✅ 37.7%	✅ 1.41	✅ 8.1%	⚠️→✅ +35% (Evoqua, paid in shares)	**Pass, with two flags**
Pentair (PNR)	✅ 17.4%	✅ +$2,832m	✅ 12.4x	✅ 37.0%	✅ 1.07	✅ 11.8%	✅ -1.7%	**Pass, clean**

Both pass. Pentair passes all seven outright. Xylem passes two of them on a technicality.

3. Test by test

Xylem

TEST	FIGURE	VERDICT	DETAIL
① 10-year average ROE (2016 to 2025)	12.0%	⚠️ Pass, borderline trend	Yearly: 12.2, 14.1, 20.8, 14.0, 8.6, 13.8, 10.6, 8.9, 8.6, 8.7. The average clears 8% comfortably. The last three years sit just above the line. The cause is the 2023 Evoqua purchase, which tripled shareholders' equity from $3.5bn to $10.2bn.
② 5-year free cash flow (2021 to 2025)	+$3,136m	✅	$330m, $388m, $566m, $942m, $910m.
③ Interest cover (2025)	42x	✅	EBIT $1,223m, interest $29m. After the $1.5bn of notes issued in September 2026 the cover will fall, but stay far above 2 times.
④ Gross margin (5-year average)	37.7%	✅	Range 36.9 to 38.5%. Flat for a decade.
⑤ OCF / net income (5-year average)	1.41	✅	Cash flow exceeds profit every year, mainly because of non-cash amortization.
⑥ Net margin (10-year average)	8.1%	✅	Low of 5.2% in 2020, high of 10.6% in 2025.
⑦ Share count, 2020 to 2025	+35.0% (180.4M to 243.6M)	⚠️ → ✅	Fails the raw 20% limit. Excused because the cause was an acquisition: about 59 million shares issued for Evoqua. Buybacks in 2026 have brought the count back to 233.5M (+29% vs 2020).

Pentair

TEST	FIGURE	VERDICT	DETAIL
① 10-year average ROE (2016 to 2025)	17.4%	✅	Yearly: 12.6, 14.3, 10.1, 18.8, 17.7, 24.4, 18.7, 21.0, 18.4, 17.6. Figures before 2019 are distorted by the nVent spin-off. The clean 2019 to 2025 average is 19.5%.
② 5-year free cash flow (2021 to 2025)	+$2,832m	✅	$557m, $283m, $550m, $693m, $748m.
③ Interest cover (2025)	12.4x	✅	EBIT $857.5m, interest $69.4m. With about $1.4bn of new Taco debt at an assumed 6%, cover falls to roughly 5.6 times (estimate). Still a pass.
④ Gross margin (5-year average)	37.0%	✅	Rising: 35.0, 33.1, 37.0, 39.2, 40.5%.
⑤ OCF / net income (5-year average)	1.07	✅	One weak year (0.76 in 2022, an inventory build).
⑥ Net margin (10-year average, continuing operations)	11.8%	✅	15% or more in each of the last three years.
⑦ Share count, 2020 to 2025	-1.7% (166.1M to 163.2M)	✅	Now 159.6M after 2026 buybacks (-3.9% vs 2020).

Borderline notes

- **Xylem test ① is the one to keep an eye on.** The screen uses a 10-year average, which is still lifted by the pre-Evoqua years. If ROE stays near 8.7%, the 10-year average will drift down toward the 8% line by the early 2030s. The fix is either higher profit on the same equity (margins) or less equity (buybacks, which began in 2026).
- **Xylem test ⑦ is excused, not passed.** The rule forgives dilution caused by acquisitions. Whether the acquisition was worth the dilution is a separate question, addressed in section 4.
- **Pentair's clean pass is backward-looking.** The screen uses data to the end of 2025. It does not see the 2026 pool-channel correction, the guidance cut or the new debt. None of those would change the result, but they are the reason the share price halved.

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4. Head-to-head comparison

4.1 The businesses

	XYLEM	PENTAIR
What it does	Pumps, treatment, smart meters and services for utilities, industry and buildings	Pool equipment, water filtration and ice machines, pumps for homes, buildings and industry
Main customers	Utilities and industry (mostly business and government spending)	Homeowners and commercial buildings, through distributors
2025 revenue	$9,035m	$4,176m
Largest customer	None above 5% of sales	One pool distributor at about 18% of sales
Sales outside the US	42%	about 30%
Sensitivity to the economy	Lower. Municipal budgets and regulation drive demand.	Higher. Housing, interest rates and consumer spending matter.
What went wrong in 2026	Slow organic growth (0 to 1%), a debt-funded $1.46bn deal, CFO left	Pool distributors cut inventory, pool sales fell 42% in Q2, share loss admitted, three CFOs in a year, a $1.4bn deal

4.2 Quality of the numbers

MEASURE	XYLEM	PENTAIR	BETTER
ROE, 2025	8.7%	17.6%	Pentair
ROE, 10-year average	12.0%	17.4%	Pentair
Reported ROIC (StockAnalysis, trailing)	9.0%	14.0%	Pentair
Gross margin, 2025	38.5%	40.5%	Pentair, slightly
GAAP operating margin, 2025	13.5%	20.5%	Pentair
Company-adjusted operating margin, 2025	17.8%	25.2%	Pentair
Net margin, 2025	10.6%	15.6%	Pentair
OCF / net income, 5-year average	1.41	1.07	Xylem
Revenue growth, 2020 to 2025 (a year)	13.1% (mostly Evoqua)	6.7%	Xylem

MEASURE	XYLEM	PENTAIR	BETTER
Organic growth, 2025	+5%	about +2%	Xylem
Organic growth, first half of 2026	0 to +1%	+1% then -17%	Xylem
Share count, 2020 to 2025	+35%	-1.7%	Pentair
Free cash flow per share, 2020 to 2025	**$3.55 to $3.74 (+5%)**	**$3.08 to $4.59 (+49%)**	**Pentair**
Liabilities / assets, end of 2025	33%	44% (about 54% after Taco, estimate)	Xylem
Net debt / EBITDA after the 2026 deals	about 1.6x (estimate)	about 2.4x (company figure)	Xylem
Goodwill and intangibles as a share of assets	60%	67%	Similar
Dividend record	Raised every year from 2015 to 2025	50 consecutive annual increases	Pentair

The single most telling line is free cash flow per share. Xylem's total free cash flow rose 42% in five years, but there are 35% more shares, so each share earns only 5% more cash than in 2020. Pentair's rose 49% per share over the same period. Xylem grew the company. Pentair grew the owner's share of it.

The counterpoint: Pentair's 2025 figures were inflated by distributors buying ahead. Its 2026 free cash flow per share will be lower. Xylem's 2026 figures are still rising.

4.3 Valuation

MEASURE	XYLEM AT $102.71	PENTAIR AT $52.47
Market cap	$23.98bn	$8.38bn
P/E on 2026 adjusted EPS guidance	18.3x	11.2x
P/E on trailing GAAP EPS	24.5x	13.2x
EV / EBITDA (trailing, before the new deals)	13.0x	9.7x
Free cash flow yield	4.0%	8.0%
Dividend yield	1.7%	2.1%
Fall from 52-week high	-33%	-53%
5-year average forward P/E	32.2x	18.4x
Three-year base value, discounted to today	about $109	about $63
Price vs base value	6% below	17% below
Three-year bear value, discounted	about $63 (-39% from price)	about $30 (-42% from price)
Three-year bull value, discounted	about $143 (+39%)	about $85 (+61%)
10-year return a year, base case, r = 10%	+4.1%	+8.9%
Same, r = 8%	+7.6%	+12.5%
Same, r = 12%	+1.6%	+6.2%

Pentair is cheaper on every measure and ranks first at every discount rate tested. The downside in the bear cases is about the same for both in percentage terms. The upside is larger for Pentair.

4.4 Management and trust

	XYLEM	PENTAIR
CEO	Matthew Pine, since Jan 2024	John Stauch, since 2018 (CFO from 2007)
CEO shareholding	about 79,000 shares, about $8m	about 447,000 shares held directly, about $23m
2026 guidance record	Trimmed sales growth, raised EPS	Cut EPS guidance by 13% in July after reaffirming in April
Finance chief	CFO left in August, internal successor	Three people in the seat in 2026, new CFO starts 1 Nov
Buybacks in 2026	$1,243m at about $123 on average	$348m at about $100 and about $75
Insider buying since the fall	One small director purchase in May	None found
Litigation	None noted	Securities class actions over the pool destock
Credibility today	Intact	Damaged

4.5 Scorecard

DIMENSION	XYLEM	PENTAIR
Business stability	★★★★	★★★
Returns on capital	★★	★★★★
Moat	★★★★	★★★
Balance sheet after 2026 deals	★★★★	★★★
Management credibility right now	★★★	★★
Value at today's price	★★★	★★★★

5. Conclusion

- **On the quality screen, Pentair is the better business by the numbers.** Higher returns on capital, higher margins, no dilution, better growth in cash per share.
- **On stability and trust, Xylem is ahead.** Its customers are utilities, not homeowners. Its problems in 2026 are slow growth and an expensive habit of acquisitions, not a broken forecast.
- **On price, Pentair is clearly cheaper** and offers more return per dollar in every scenario tested, with a similar percentage downside.
- **The two shares are down for different reasons.** Xylem's fall is mostly the market no longer paying 25 times earnings for 2% growth. Pentair's fall is an earnings shock and a loss of confidence in management.

In one line: Xylem is the steadier business at a fair price. Pentair is the more profitable business at a low price, with a management team that has to win back trust. Neither is a clear bargain today, and neither looks like a company to give up on.

	XYLEM	PENTAIR
Research verdict	Hold / wait	Hold / wait
Becomes interesting below	about $85	about $47, or at the current price once the pool destock is confirmed over
Next date	Q3 results, 27 Oct 2026	Q3 results, expected 23 Oct 2026

	XYLEM	PENTAIR
What to listen for	Organic growth back toward 3%, margin on track for 23.1 to 23.5%	Pool inventory back to normal, no new guidance cut, 2027 pool sales near $1.45bn

6. Limits of this screen

Passing the screen does not make a company a good investment. The screen does not look at the price, the durability of the business model, the quality of management or the direction of competition. Those are covered in the two research reports. Specific limits here:

- Pentair's figures before 2019 are distorted by the nVent spin-off.
- Xylem's adjusted earnings changed definition in 2023, so GAAP figures were used for every test.
- Post-deal leverage and interest cover for both companies are estimates, because neither acquisition is yet in a published balance sheet.
- Star ratings in section 4.5 are judgments, not measurements.

Sources: SEC XBRL company facts for Xylem (CIK 1524472) and Pentair (CIK 77360), FY2025 Forms 10-K, Q2 2026 press releases, StockAnalysis statistics and ratio pages, Finviz. Full link lists are in the two research reports.

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